

REQUEST FOR PROPOSAL

REQUEST FOR PROPOSAL (RFP) FOR THE LEASING OF TRANSNET PIPELINES' MAGDALA LIQUID PETROLEUM DEPOT



TRANSNET PIPELINES

ISSUE DATE: 05 OCTOBER 2026

**CLOSING DATE: 04 DECEMBER 2026 @17:00
(SAST)**

1. Background and Overview

Transnet Pipelines established in 1965, is an operating division of Transnet SOC Ltd, a South African state-owned company which plays a critical role in the energy industry in the South African economy. Transnet Pipelines core strategic mandate is to ensure petroleum security of supply for the inland market and gas security of supply for the KwaZulu Natal market using environmentally responsible methods while ensuring optimal efficiencies.

The Magdala Depot is a pump station on the Durban–Johannesburg Petroleum Products Pipeline (DJP) located near Viljoenskroon in the Free State and was used to accumulate and deliver Petrol and Diesel. The decommissioning of the Durban Johannesburg has resulted in Magdala Liquid Petroleum Depot becoming isolated from the pipeline network, leaving Transnet Pipelines with Magdala Liquid Petroleum Depot as a stranded asset. As a result, Transnet Pipelines is seeking viable alternative uses for the stranded asset to maximise its value and operational potential.

2. Request for Proposal (RFP)

Transnet Pipelines would like to invite parties interested to submit proposals to enter into a Lease Agreement for the Magdala Liquid Petroleum Depot for the storage and distribution of refined fuel.

Transnet Pipelines is open to a consortium or incorporated joint venture structure of a bidder, bidder entity or bidder group, provided there are clear links and explanations as to key issues relating to the partners/members experience in the upstream, midstream, or downstream liquid petroleum market, financial capability and which company or group of companies ultimately takes the lease.

Transnet Pipelines will award Lease of Magdala Liquid Petroleum Depot based on the successful negotiation and finalization of the binding Lease Agreement with the relevant parties.

3. Description of Assets

Transnet Pipelines' Magdala Depot is located near Kroonstad in the Free State Province, along the R34 road between Kroonstad and Edenville. The Magdala facility is a secured petroleum pipeline installation comprising a combination of operational, electrical, utility, administrative, and fire protection infrastructure designed to support the safe handling of petroleum products. The facility is enclosed by an approximately 2.4 m high steel palisade security fence and is accessed from the R34 Provincial Road via an internal access road network. The site includes a pump house, which accommodates the main pumping equipment and a control room used for monitoring and controlling pipeline operations. Supporting operational buildings include offices, a garage, a covered room, a fan house, a service water works area, and a switchgear house containing the electrical distribution equipment.

The electrical infrastructure further comprises a substation, switchyard, transformers, and associated power distribution systems required to supply the depot. Fire protection infrastructure

includes a fire fighting pump house, fire hydrants, water tanks, and dedicated fire protection services strategically located throughout the facility. The depot also incorporates a tar car park, concrete roads, grassed areas, stormwater drainage, and underground utility services including power cables, service pipes, communication cables, and product pipelines.

The site layout for Magdala depot is included below.

4. Scope of Requirements

Transnet intends to appoint a Lessee to commercially lease, operate and maintain the Magdala depot for at least ten years following an RFP procedure. Transnet Pipelines reserves the right, at its sole discretion, to amend the lease period after the RFP closing date.

The appointed Lessee will be required to assume operational responsibility for the depot and ensure that it is efficiently managed in alignment with applicable regulatory requirements and industry standards. This includes the safe handling, storage, throughput, and dispatch of petroleum products, while maintaining the integrity of the facility and associated infrastructure.

The Respondent is required to submit a detailed technical proposal demonstrating its capability to operate and manage the Transnet Pipelines Magdala Depot effectively. This submission must include the bidder's understanding of the scope of work, proposed operational approach, and methodology for managing depot activities such as product receipt, storage, and dispatch.

The Magdala Depot used to only receive product via pipeline and has subsequently been isolated from the pipeline network. Therefore, the Respondent would have to implement site improvements to enable road and/rail receipt and dispatch of the petroleum products to and from the depot at their own costs.

5. NERSA Requirements

Magdala Depot was licensed as an accumulation facility within Transnet Pipelines pipeline network operations license with National Energy Regulator of South Africa (NERSA). Accordingly, Magdala Depot requires to be licensed with NERSA as a storage facility before it can be operationalized by the appointed Lessee. The Lessee shall remain responsible for the accuracy and completeness of the information provided and for complying with any conditions imposed by NERSA.

It is the responsibility of the successful Bidder to familiarise themselves with the NERSA requirements for an application for a licence in terms of the Petroleum Pipelines Act, 2003 (No. 60 of 2003).

6. Proposal Criterion

A comprehensive business proposal document must be included in the RFP submission. The comprehensive proposal must include the commercial terms, evidence of experience in either

the upstream, midstream, or downstream liquid petroleum market and evidence of financial capability to operate and maintain the Magdala Depot (credit facilities will not be accepted).

The below minimum acceptance criteria will be utilized for shortlisting Respondents who will be invited to enter into discussions for Magdala Depot Lease Agreement. Proposals that do not meet the minimum criteria will not be considered.

Criteria	Minimum Acceptance Criteria
Provision of all mandatory documents	The Respondent is required to provide all the mandatory documents listed in Annexure A. Proposals from Bidders that fail to provide any of these documents will not be considered
Lease Term	Greater than or equal to ten (10) years Payable Monthly
Proven experience in the liquid petroleum market	Experience in the upstream, midstream, or downstream liquid petroleum South African market and relevant licensing i.e., wholesale license, NERSA operating license, etc
Financial capability to operate and maintain facility to Transnet Pipelines standards	Certified copies of last 3 years audited annual financial statements

Transnet Pipelines reserves the right to disqualify respondents providing incomplete, inaccurate financial information.

7. Deposit and Pricing Schedule

The successful Lessee will be required to pay a refundable deposit prior to the commencement of the lease agreement. Bidders are required to complete and submit the pricing schedule as part of their submission, indicating their proposed rental rate per month.

8. Mandatory Site Briefing

Transnet Pipelines will hold a mandatory site briefing at Magdala Depot on 26 October 2026 at 13h30. Magdala Depot coordinates are -27.61600858, 27.31455978.

Flame-resistant personal protective equipment (PPE) is required. Proposals from parties that fail to attend the site briefing will not be considered.

9. Clarification Questions

Transnet Pipelines will accept written clarification requests from Respondents. All clarification questions must be submitted in writing to TPL.Commercial@transnet.net by no later than 14 November 2026 at 17:00 SAST.

10. General Respondent

This RFP does not and will not be deemed to constitute an agreement or an offer by Transnet Pipelines that is capable of acceptance and any response to, or signature of, this RFP shall not give rise to any obligations on the part of Transnet Pipelines.

Transnet Pipelines will not have any liability to any party arising in connection, whether directly or indirectly, with this RFP or any response received by an interested party.

Transnet Pipelines reserves the right to amend, modify or withdraw this RFP, or any part of it, or to terminate or amend the plans for the Magdala Depot, at any time, without prior notice and without liability to compensate or reimburse any person pursuant to such amendment, modification, withdrawal, or termination. A Respondent to this RFP warrants that the information provided is true, accurate and complete

11. Confidentiality

The proposals and appendices/annexures submitted by the Respondent to this RFP will be treated by Transnet Pipelines as confidential and Transnet Pipelines will not, without the Respondents written consent directly or indirectly communicate or disclose (whether in writing or orally or in any other manner) the proposal to any other person.

Transnet Pipelines will only use the proposal for the sole purpose of this RFP. Notwithstanding the aforementioned, Transnet Pipelines may disclose the proposal to Transnet's agents who strictly need access to the proposal for the sole purpose of this RFP and Transnet may disclose the proposal to the extent required by law or rules of any applicable regulatory authority. The proposal shall remain the property of the Respondent, and its disclosure shall not confer on Transnet any rights, including intellectual property rights over the proposal whatsoever.

Any information or data which is already known to Transnet Pipelines as of the date of submission of the proposal, information or data acquired by Transnet Pipelines independently from a third party, or information or data that is or becomes known in the public domain, shall be excluded from the operation of this confidentiality clause.

12. Annexure A: Mandatory Documentation

The Respondent (s) shall provide all of the below listed documentation with their proposal. Failure to provide all the below documentation will result in the bidder not being considered:

1. Detailed business proposal which must include:

- 1.1. Market demand volumes and annual throughput volume;
- 1.2. Details of the target customer base;
- 1.3. The nature of the proposed business initiative and necessary developments;
- 1.4. The value adding of the business proposal to Transnet;
- 1.5. New supplier development contribution and job creation opportunities to the region.
- 1.6. Detailed description of how the product will be delivered into the tanks and a description of how the product will be distributed out of the tanks. Detailed description of the products to be stored in each tank.
- 1.7. Proof of project funding and detailed schedules for the work required for the improvements of the depot to enable receipt and dispatch of the product from the tanks;
- 1.8. Finance model (forecast model);
- 1.9. Detailed approach outlining associated risks and mitigation actions;
- 1.10. Technical abilities of the Bidder to maintain and operate a fuel depot;
2. Pricing schedule indicating the proposed rental rate per month in the following format:

Activity	Rate (R/month) excl. VAT
Rent	

3. The relevant trading license i.e Wholesale License, NERSA operating license, etc
4. Certified copies of last 3 years audited annual financial statements;
5. Company profile;
6. Company Structure;
7. Proof of Registered Business Address (e.g., municipal bill);
8. Company Registration Documents (e.g., CIPC Certificate of Incorporation, CoR14.3; CoR15.1A) and Certified Copies of Directors' Identification Documents;
9. Consent Letter for Transnet Pipelines to conduct credit assessment of the Respondent in company letter head;
10. Valid Broad-Based Black Economic Empowerment (B-BBEE) certificate or a sworn affidavit which reflects the company's Black ownership percentage;
11. SARS Tax Clearance Certificate;
12. Confirmation of bank details from bank (with bank stamp);
13. Shareholders Agreement;
14. Shareholder Certificates (if applicable);

13. Closing date for submissions

The response as per above must be submitted by email to TPL.Commercial@transnet.net by no later than 04 December 2026 at 17:00 SAST.

Any response submitted after the deadline will not be considered.

EVALUATION CRITERIA

Bid Responses submitted in respect of this RFP will first be assessed based on compliance with the Functionality Criteria, and only if a Bid Response complies with the Stage 1 of the evaluation criteria (Functionality Criteria) will it be evaluated in Stage 2 (Price and Preference).

STAGE 1 OF THE EVALUATION CRITERIA: FUNCTIONALITY CRITERIA

Note: Only Tenderers with a total functionality score of **60%** will be considered.

Evaluation Criteria	Description	Weighting (%)	Scoring Guideline
Business Proposal	The business proposal will be assessed on how thoroughly it outlines procedures for each stage of product movement, including receipt, storage, handling, and dispatch, with particular emphasis on safety, accuracy, and efficiency. Bidders must clearly describe processes, workflows, and controls that ensure product integrity, prevent losses, and minimize risks associated with hazardous materials. The level of detail and practicality of the proposed operational procedures will also form an important part of the evaluation. Bidders are expected to provide step-by-step descriptions supported by diagrams, process flows, or standard operating procedures where applicable.	30	Refer to T1.1
Previous Experience	Demonstrate experience in the upstream, midstream or downstream liquid petroleum South African market. Provide the relevant licensing i.e, Wholesale License, NERSA operating license, etc.	40	Refer to T1.2

Financial Standing	Applicants, or each member of the Joint Venture (JV), should submit their annual audited financial statements for the last three (3) financial years for existing Company. Financial statements must be signed off by a registered auditor/tax practitioner. (Note: Credit Facilities are not acceptable for the purposes of financial analysis and scoring of proposals).	30	Refer to T1.3
Total		100	
Minimum qualifying score required		60	

T1.1 The Proposal

The Proposal will be scored as follows:

The following information is required as a minimum on the Proposal submitted for evaluation:

1. Market demand volumes and annual throughput volume;
2. Details of the target customer base;
3. The nature of the proposed business initiative and necessary developments;
4. The value adding of the business proposal to Transnet;
5. New supplier development contribution and job creation opportunities to the region;
6. Detailed description of how the product will be delivered into the tanks, a description of how the product will be distributed out of the tanks and detailed description of the products to be stored in each tank;
7. Proof of project funding and detailed schedules for the work required for the improvements of the depot to enable receipt and dispatch of the product from the tanks;
8. Finance model (forecast model) demonstrating viability of the proposal;
9. Detailed approach outlining associated risks and mitigation actions;
10. Technical abilities of the Bidder to maintain and operate a fuel depot.

Score	Description
0	The Proposal meets less than 4 of the minimum requirements listed above.
40	The Proposal meets 4 of the minimum requirements listed above.
50	The Proposal meets 5 of the minimum requirements listed above or more than 5 but not including item 6.
60	The Proposal meets 6 of the minimum requirements listed above including item 6.
70	The Proposal meets 7 of the minimum requirements listed above including item 6.
80	The Proposal meets 8 or 9 of the minimum requirements listed above including item 6.
100	The Proposal meets all of the minimum requirements listed above.

T1.2 Previous Experience

Bidders are required to provide projects/businesses to substantiate experience in the upstream, midstream or downstream liquid petroleum South African market. They shall supply a sufficiently detailed list of projects, indicating the following:

- a) Project Description;
- b) Name of client;
- c) Start date;
- d) Completion date (or ongoing status);
- e) Cost of project;
- f) Name, email and contact number of client representative.

Previous Experience will be scored as follows:

Score	Description
0	The Tenderer has 0 - $\leq$ 1 years of relevant experience in upstream, midstream or downstream liquid petroleum South African market.
40	The Tenderer has >1 and <2 years of relevant experience in the upstream, midstream, or downstream liquid petroleum sector within the South African market.
60	The Tenderer has ≥ 2 and <3 years of relevant experience in the upstream, midstream, or downstream liquid petroleum sector within the South African market.
80	The Tenderer has ≥ 3 and <5 years of relevant experience in upstream, midstream or downstream liquid petroleum South African market.
100	The Tenderer has ≥ 5 years of relevant experience in upstream, midstream or downstream liquid petroleum South African market.

Bidders are required to submit the relevant license i.e, Wholesale License, NERSA operating license, ITAC permit etc. Where no license is submitted then no score will be given.

T1.3 Financial Standing

Current Ratio will be scored as follows:

Score	Description
0	The current ratio is <1
40	The current ratio is ≥ 1 and <1.25
60	The current ratio is ≥ 1.25 and <1.5
80	The current ratio is ≥ 1.5 and <2
100	The current ratio is ≥ 2

Net tangible assets will be scored as follows:

Score	Description
0	The company's Net tangible assets are negative
100	The company's Net tangible assets are positive

Note: Net tangible assets are defined as Total assets – Intangible assets – Total Liabilities

Debt to Equity Ratio will be scored as follows:

Score	Description
0	The debt to equity is ≥ 1
40	The debt to equity is ≥ 0.75 and <1
60	The debt to equity is ≥ 0.5 and <0.75
80	The debt to equity is ≥ 0.25 and <0.5
100	The debt to equity ratio is <0.25

STAGE 2 OF THE EVALUATION CRITERIA: PRICE AND PREFERENCE

Evaluation Criteria	Description	Weighting (%)	Scoring Guideline
BBBEE	Valid Broad-Based Black Economic Empowerment (B-BBEE) certificate or a sworn affidavit which reflects the company's Black ownership percentage.	10	Refer to T1.4
Price	The Bidder must submit an acceptable monthly rental rate	90	Refer to T1.5
Total		100	

T1.4 BBBEE contribution will be scored as follows:

Score	Description
0	Bidder submitted a valid BBBEE certificate or sworn affidavit reflecting a BBBEE status level 7 or 8, or non-compliant status.
40	Bidder submitted a valid BBBEE certificate or sworn affidavit reflecting a BBBEE status level 5 or 6.
60	Bidder submitted a valid BBBEE certificate or sworn affidavit reflecting a BBBEE status level 3 or 4.
80	Bidder submitted a valid BBBEE certificate or sworn affidavit reflecting a BBBEE status level 2.
100	Bidder submitted a valid BBBEE certificate or sworn affidavit reflecting a BBBEE status level 1.

T1.5 Price

The Bidder making the highest rental rate per month will be awarded maximum points while the other Bidders with a lower rental rate per month will proportionately obtain lower points based on the following formula:

$$Ps = 90 (1 + (Pt - Pmax) / Pmax)$$

Where:

Ps = points scored for the offer under consideration

Pt = rental rate per month under consideration

Pmax = highest acceptable rental rate per month received

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GENERAL

1. ALL DIMENSIONS ARE IN METERS.
2. ALL LEVELS AND DIMENSIONS CHECKED ON SITE BEFORE ANY WORK COMMENCE.

NOTES

1. SURVEY BASED ON LOCAL SYSTEM.
2. HEIGHT DATUM IS LOCAL.

REFERENCE	MARK	DATA
1	1	1
2	2	2
3	3	3
4	4	4
5	5	5
6	6	6
7	7	7
8	8	8
9	9	9
10	10	10
11	11	11
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98	98	98
99	99	99
100	100	100

	Y	X	Z
RM1	1000.00	1000.00	5.00
RM2	1077.68	993.34	4.43
RM3	1092.16	1040.24	4.31

ALL REFERENCE MARKS ARE 12mm IRON
PEGS IN CONCRETE

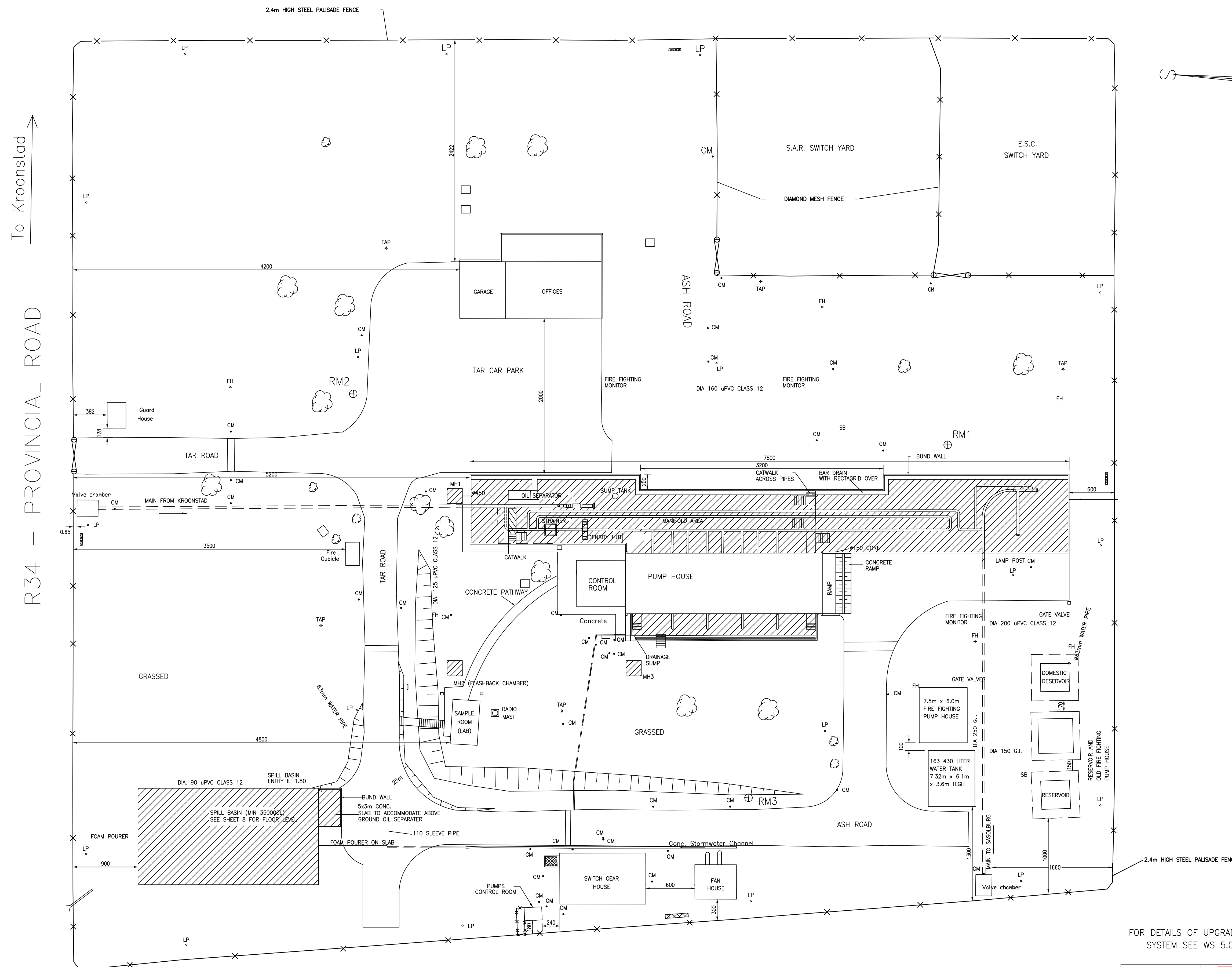
KEY

- LP - FLOOD LIGHT POLE
CM - CONCRETE CABLE MARKER
SB - SWITCH BOX
SP - SIGN POST
FH - FIRE HYDRANT
TAP - WATER TAP
 - ELECTRICITY SUBSTATION
 - MANHOLE
- FIRE FIGHTING MONITOR

- STARTER CABLE
- POWER CABLE
- SERVICE PIPE
- HT CABLE
- BLP CABLES
- TRANSTEL CABLES
- RC PIPE
- SLEEVE PIPE
- PRODUCT PIPELINE

FLOOR LEVELS

- GARAGE = 4.78
OFFICE = 5.03
CONTROL ROOM = 4.91
PUMP HOUSE (UPPER LEVEL) = 5.38
PUMP HOUSE (LOWER LEVEL) = 4.68
SWITCH GEAR HOUSE = 3.97
FAN HOUSE = 4.27



FOR DETAILS OF UPGRADE TO FIRE FIGHTING
SYSTEM SEE WS 5.025 SHEETS 1-7



SITE LAYOUT
MAGDALA PUMPSTATION (AS BUILT)

REVISIONS			
PROJECT NAME			
DRAWN	Z.M	REF.	
TRACED	CAD	DATE	11-01-2008
CHECKED		APPROVED	
SCALE		1: 250	
DRAWING No.			
PL 115759			